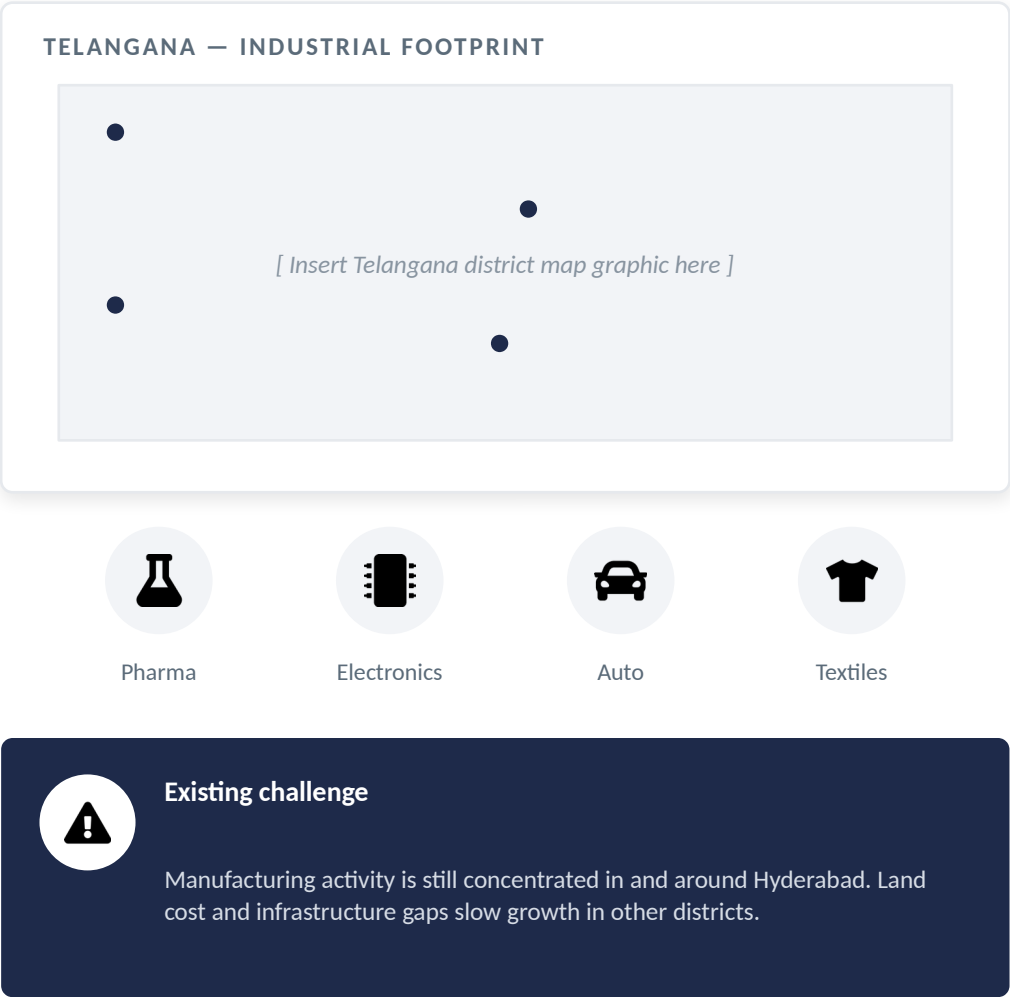


Telangana Manufacturing: Where We Stand Today

- **Industry & manufacturing base:** Industry contributes 18.5% of Telangana's GSVA (2025-26 PAE); manufacturing is the largest piece within industry at 45.1% share, ahead of construction and mining.
- **Major industries:** Life sciences & pharma, electronics & IT hardware, automobiles & auto components, textiles, aerospace & defence, food processing.
- **Single-window clearance:** TS-iPASS approved 1,457 new manufacturing units in 2025-26 (up to Dec), with Rs 7,338 crore of proposed investment.
- **Parks & corridors:** Genome Valley, Fab City, HITEC City, Apparel Park (Gundlapochampalli), Export Promotion Park (Pashamylaram); Hyderabad-Warangal industrial corridor under development.
- **Employment:** 22.2% of the working-age population is engaged in industry (PLFS, Oct-Dec 2025); 17.2 lakh MSMEs registered on Udyam as of Dec 2025.
- **Strengths:** Leading pharma hub, fast project approvals, strong Hyderabad talent pool, FDI inflow of Rs 1.23 lakh crore since Oct 2019.



Source: Telangana Socio-Economic Outlook 2025-26, Directorate of Economics & Statistics; PLFS (Oct-Dec 2025); DPIIT / IBEF Telangana state profile, Sept 2025.

Telangana vs Tamil Nadu: A Practical Benchmark

Parameter	Telangana	Tamil Nadu
Manufacturing base	Pharma-led; electronics and auto components growing	Diversified — autos, textiles, electronics, leather, engineering
Industrial clusters	Mostly Hyderabad-centred (Genome Valley, HITEC City, Fab City)	Spread across Chennai, Coimbatore, Tiruppur, Hosur, Sriperumbudur
Employment	22.2% of workforce in industry (PLFS, Oct-Dec 2025)	Over 40,000 factories; about 25 lakh factory workers
Logistics	Landlocked; depends on Chennai / Vizag ports and rail	3 major seaports (Chennai, Ennore, Tuticorin) with port-linked industry
Exports	Rs 1.69 lakh crore / US\$19.1 bn (FY25) — pharma, engineering goods	Over US\$30 bn — autos, electronics, textiles (3rd among states)
MSMEs	17.2 lakh Udyam units (Dec 2025)	Among top 3 states nationally in MSME registrations
Ease of doing business	TS-iPASS single window; 'Top Achiever' in BRAP 2024	Guidance Tamil Nadu single window; consistently high BRAP ranking
Investment attraction	FDI Rs 1.23 lakh crore (Oct 2019-Jun 2025)	Recent large deals — Hyundai shipyard, Rolls-Royce MRO (Hosur)

KEY LEARNING FOR TELANGANA

- Spread industry beyond Hyderabad — Tamil Nadu's strength comes from multiple hubs (Coimbatore, Tiruppur, Hosur), not one city.
- Deepen the MSME base in manufacturing, not just services, so small units feed directly into large-company supply chains.
- Keep industrial policy stable and predictable over the years, the way Tamil Nadu has sustained investor confidence.
- Build port-linked logistics through dry ports and rail freight, since Telangana cannot rely on a coastline.
- Add auto components, electronics and textile manufacturing alongside pharma to reduce sector concentration.

Source: NITI Aayog, Macro & Fiscal Landscape of Telangana / Tamil Nadu (2025); RBI Handbook of Statistics on Indian States 2024-25; IBEF state profiles; Economy of Tamil Nadu overview.

Five-Year Strategy: Five Pillars for the CM

1

Industrial Policy

ISSUE

Incentives lean heavily on pharma & IT; policy due for renewal.

RECOMMENDATION

Renew policy with sector incentives for electronics, EV parts & food processing; extend TS-iPASS to 2030.

IMPACT

Wider, more diversified investment pipeline.

2

Infrastructure

ISSUE

Industrial activity is concentrated around Hyderabad.

RECOMMENDATION

Build plug-and-play parks in Warangal, Nalgonda & Adilabad belts under the PURE framework.

IMPACT

Lower land cost, less regional imbalance.

3

Logistics

ISSUE

Landlocked state; higher freight cost than coastal peers.

RECOMMENDATION

Develop dry ports/ICDs on the Hyderabad-Warangal corridor; fast-track ongoing rail-doubling works.

IMPACT

Faster, cheaper movement of export goods.

4

Skill Development

ISSUE

Skill gap in robotics, EV and electronics manufacturing.

RECOMMENDATION

Expand TASK-run cluster-linked skilling centres with ITI and industry apprenticeships.

IMPACT

Job-ready workforce for higher-value units.

5

MSME & Innovation

ISSUE

Only ~19% of MSME credit demand met formally; collateral often 200% of loan value.

RECOMMENDATION

Widen CGTMSE-backed collateral-free loans; build MSME clusters around anchor industries.

IMPACT

Stronger local supply chains, resilient MSMEs.

EXPECTED BENEFITS

Manufacturing spreads beyond Hyderabad, MSMEs gain stronger credit access, and Telangana moves closer to the \$1 trillion interim GSDP target under Telangana Rising 2047.

Source: Telangana Rising 2047 Vision Document; Ministry of Railways press release, Oct 2025; JETIR study on MSMEs in Telangana, Dec 2025; Telangana Socio-Economic Outlook 2025-26.

Challenges on the Ground, and How to Fix Them

Challenge	Solution
Land acquisition delays	Use TGIIC land banks and peri-urban land pooling under the PURE framework to cut approval time.
Environmental approvals	Integrate green-category clearances into TS-iPASS with a dedicated fast-track cell.
Skill gap in advanced manufacturing	Cluster-linked ITI-industry partnerships and TASK modular courses in robotics, EV and electronics.
MSME financing gap	Expand CGTMSE-backed collateral-free lending; strengthen the State Level Bankers' Committee for MSMEs.
Competition from other states	Match or beat competing states on clearance speed; keep sector-specific T-IDEA incentives current.
Regional imbalance	Roll out new clusters outside Hyderabad through the 13 Strategic Industrial & Advanced Manufacturing Clusters.



IMPLEMENTATION RISKS

- Delay in land pooling could slow down peri-urban cluster rollout.
- Power infrastructure upgrades must keep pace with new industrial units.
- Skilling outcomes depend heavily on private-sector participation.
- Global trade slowdown or tariff shifts could affect export-oriented units.

Source: JETIR, Role & Challenges of MSMEs in Telangana's Economic Growth, Dec 2025; Telangana Industrial Policy, FTCCI; Telangana Socio-Economic Outlook 2025-26.

Five-Year Roadmap: Milestones and Outlook





Rs 88,534 cr

Investment already attracted via TGIIC land allotments, Dec 2023-Dec 2025 — the base to build on over 5 years.



75,008 jobs

Jobs projected from TGIIC allotments in the same period, across manufacturing and allied units.



\$1 trillion

Interim GSDP milestone targeted by 2034 under the Telangana Rising 2047 vision.

EXPECTED OUTCOMES

- Manufacturing's share of GSVA rises as new clusters become operational.
- Industrial growth reaches more districts beyond the Hyderabad belt.
- MSME credit gap narrows through expanded CGTMSE-backed lending.
- Telangana moves closer to the \$1 trillion interim GSDP goal.
- More formal manufacturing jobs open up for youth through cluster-linked skilling.

Sources: Telangana Socio-Economic Outlook 2025-46; Telangana Rising 2047 Vision Document; TGIIC land allotment data, Dec 2023-Dec 2025; Ministry of Railways release, Oct 2025.